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20 Pillar #2: Budget: Relevance in UPSC?

Year	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
MCQ	3	3	4	1	1	2	3	1	0	6	1	

20.1 Fiscal Policy (राजकोषीय नीति): Meaning & significance

- 'Fiscal' is a word derived from Greek. Means 'basket' and symbolizes the public purse.
- Fiscal Policy is the set of Govt. decisions regarding taxation, expenditure, subsidies and other financial operations. (कराधान, व्यय, सब्सिडी और अन्य वित्तीय संचालन हेतु सरकार द्वारा लिए गए निर्णय)
- Using fiscal policy, Govt influences the savings, investment and consumption in an economy, to accomplish certain national goals such as income redistribution, socio-economic welfare, economic development and inclusive growth. (बचत, निवेश और खपत को सरकार को प्रभावित करती→ आय का पुनर्वितरण, सामाजिक-आर्थिक कल्याण, समावेशी विकास हो सकता है)

A well planned Fiscal Policy can help in following arenas:

✓ **Jobs/ Employment:** through welfare schemes/ rural employment programmes like MGNREGA (More in pillar6) (लोक कल्याणकारी योजनाओं द्वारा पूर्ण रोजगार)

- ✓ 🍊**To Fight Inflation** (मुद्रास्फीति): Higher Income tax ⟶ ↓ disposable income (व्यय योग्य आय) ⟶ demand curbed, To fight deflation= ↓ direct and indirect taxes to boost demand. (More in pillar4: Inflation) (अपस्फीति से लड़ने के लिए करों में कटौती करे माँग को बढ़ाएँ)
- ✓ 📈 **To Boost Economic Growth:** Provide income tax benefits on household savings in LIC/Mutual Fund etc. ⟶ industries get new capital investment ⟶ factory expansion, jobs, GDP growth. (More in pillar4: GDP) (करों में रियायतें दे कर निवेश को बढ़ोतरी, आर्थिक वृद्धि को बढ़ोतरी देना)
- ✓ 👩🔧**To Boost Inclusive Growth** (समावेशी विकास)**:** Higher taxes on rich ⟶ use money for health, education, women, poverty removal programs. (More in pillar6: Human Dev)
- ✓ 🧭 **To Boost Regionally Balanced Growth**: Give tax benefits to industrialists for setting up factories in North East, Naxal/Left-wing Extremism (LWE) & other backward areas. (उद्योगपतियों को उत्तर पूर्वी राज्य तथा नक्सल प्रभावित राज्यों में फैक्टरी लगाने पर करो में रियायते देकर सभी प्रदेशो का संतुलित विकास)
- ✓ 💱**Exchange Rate Stability** (विनिमय दर स्थिरता)**:** Give tax benefits to exporters to boost exports; while impose higher taxes on imported items to reduce imports ⟶ Current Account Deficit (CAD: चालू खाता घाटा) controlled ⟶ ₹ :$ Exchange rate volatility controlled. (pillar3:BoP)

🔠❓ **MCQ. "Fiscal policy" means (UPSC-Indian-Engg-Service-2018)**

a) Balancing the revenue collection and expenditure

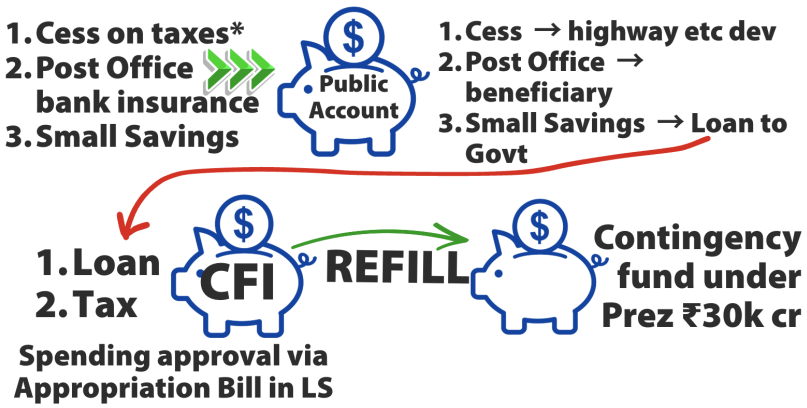
b) Establishing equilibrium between demand and supply of goods and services

c) Use of taxation, public borrowing and public expenditure by Government for purposes of stabilisation or development.

d) Deficiency as an instrument of growth

20.2 💼 Budget (बजट): Meaning

Budget is an annual financial statement containing estimated revenues and expenditures for the next financial year. Budget is the primary tool used by Govt to implement its fiscal policy. (अनुमानित राजस्व और व्यय का वार्षिक वित्तीय विवरण, जिसकी मदद से सरकार राजकोषीय नीति को लागू क्रियान्वित है).



20.2.1 🔐Three Funds related to Budget (Self-Study= Laxmikanth chapter on Parliament)

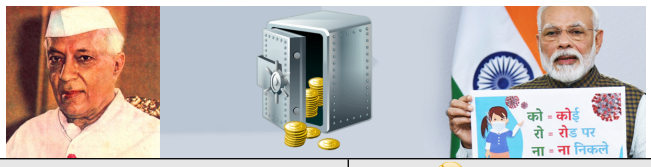
Art. 266	🔐Consolidated Fund Of India (CFI) (संचित निधि)	Incoming taxes, loans raised, loans recovered. Withdrawal need Parliament Permission (- except for Charged Expenditure like Judges' salaries).
Art.	🔐Public Account	Incoming ₹ ₹ from provident fund, small savings, postal

266	of India (लोक लेखा) सिर्फ पहली बार बनाते वक्त सरकार ने संसद की अनुमति लेनी है. फिर हर बार इसमें से पैसा खर्च करते वक्त संसद की अनुमति नहीं लेनी है.	deposit etc. Govt acts similar to a banker transferring fund from here to there so parliament permission ✋not necessary. IF separate fund is to be created for the first time, for a specific expenditure, then needs parliament permission to "create" it e.g. Central Road Fund Act 2000, where Road Cess on Petrol, Diesel would be deposited.
Art. 267	🔐Contingency Fund of India (आकस्मिकता निधि)	⇒ Unforeseen events. Held by Finance Secretary (IAS) in Dept of Economic Affairs, on behalf of President. ⇒ Parliament approval is "subsequently" obtained, after expenditure. Money refilled from CFI. 👜🧍 Budget-2021 reforms 1. Amount ⏫ from Rs 500 crore to Rs 30,000 crore 2. 40% of this amount will be kept with Dept of Expenditure & 60% by Dept of Economic Affairs (DEA).

🔠❓ **Authorization for the withdrawal of funds from the Consolidated Fund of India must come from: (Pre-2011)** (a) President of India (b) Parliament (c) PM (d) The Union Finance Minister

🚩👶FAQ: What is Cess? Ans. Finish entire Handout first.

20.2.2 🤧🤲Donation Funds: PMNRF vs PM CARES (दान)



👴*PMNRF by Nehru 1948*	🧒*PM CARES Fund by Modi 2020*
⇒ Prime Minister's National Relief Fund (PMNRF) राष्ट्रीय राहत कोष	Prime Minister's Citizen Assistance and Relief in Emergency Situations Fund
⇒ Originally for helping Pak-refugees. Nowadays for floods, cyclones, earthquakes, accidents, heart/kidney transplant, cancer, acid attack, riots etc.	For dealing with any kind of emergency or distress situation, e.g. COVID-19 pandemic किसी भी किस्म की आपातकालीन परिस्थितियों से लड़ने के लिए
⇒ Not setup by Parliament. ⇒ No support given from the budget. ⇒ Only runs from donations of ordinary people and institutions & foreigners donations.	⇒ Same। इसे संसद द्वारा नहीं बनाया गया, बजट में से इसे पैसा नहीं दिया जाता, सामान्य लोगों के और विविध संस्थानों के दान से ये चलता है,
⇒ Donors get Income tax exemption. ⇒ If company donates ₹₹=counted in Corporate Social Responsibility (CSR, Ref#1C).	⇒ Same. दान देने पर आयकर में छूट मीलती है .यदि कंपनी दान देगी तो उसे कॉर्पोरेट सामाजिक दायित्व में गिना जाएगा
⇒ Prime Minister's Office (PMO) operates	⇒ same.प्रधानमंत्री कार्यालय संचालित करता है
⇒ PM is the ex-officio chairman. He's assisted by officers. (पदेन अध्यक्ष)	⇒ Prime Minister is the ex-officio Chairman. (पदेन अध्यक्ष) ⇒ Ex-officio Trustees (पदेन ट्रस्टी): Ministers of Defence, Home Affairs, Finance

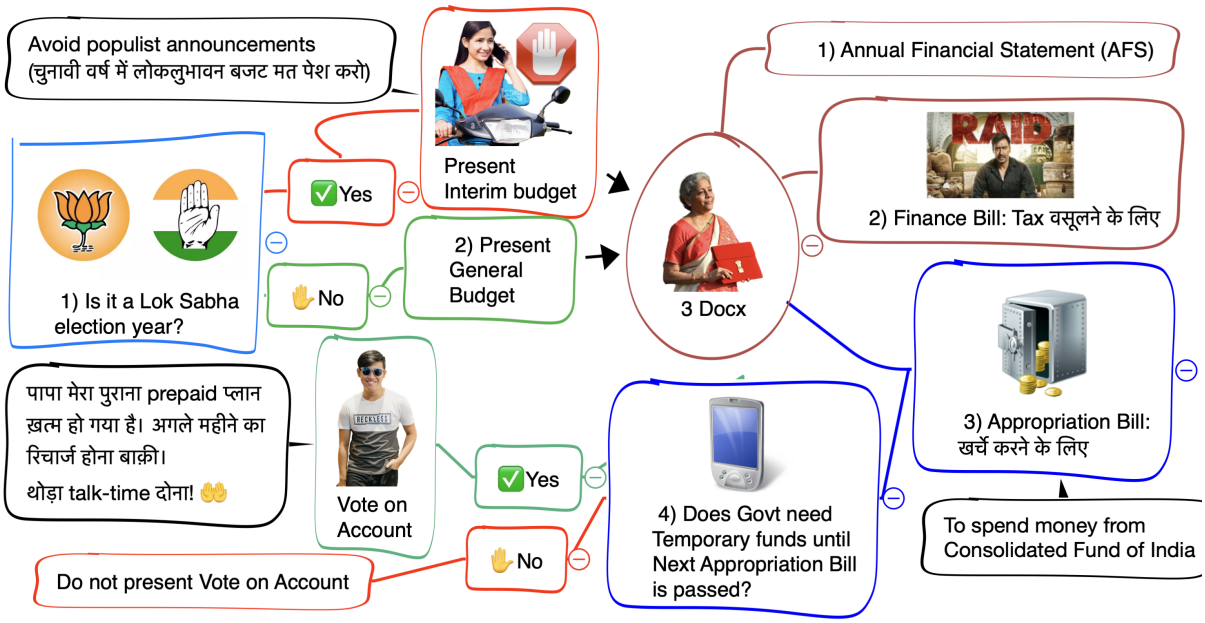
PMNRF by Nehru 1948	PM CARES Fund by Modi 2020
	⇒ 3 Nominated Trustees : experts from health, science, social work, law etc. PM selects them. (मनोनीत)

Notes:

⇒ 1962: A separate 'National Defence Fund' under PM to help military & paramilitary forces' families. Other features mostly similar to above funds. (ऊपर के टेबल में हमने पढ़े वो दो फण्ड के अलावा एक तीसरा राष्ट्रीय रक्षा कोष/ निधि भी है)

⇒ Usually, such Govt donation funds are registered under Indian Trust Act, 1882. But, some legal experts / critics suggest these donations should be brought under Public Account / Consolidated Fund to bring accountability & transparency. (पारदर्शिता और जवाबदेही की कमी)

⇒ 😨Controversy? PM CARES Fund officials refused to give information to a person under Right to information Act (RTI), so court case about applicability of RTI on this. (सरकार इस फंड का हिसाब किताब "सूचना अधिकार कानून में" देने से इंकार कर रही थी तो कोर्ट में केस चला)



20.2.3 Three Documents related to Budget (बजट के साथ प्रस्तुत तीन दस्तावेज)

- Budget comes from a French word *'bougette'* meaning a leather bag / suitcase.
- Finance Minister (FM: वित्त मंत्री) would keep documents in it → present in parliament.
- 2019: FM Nirmala Sitharaman ended this colonial practice by presenting the budget in a traditional four-fold red cloth called "**Bahi-Khata**". (लाल रंग के कपड़े में लपेट के पेश किया)
- While the term 'budget' not given in our constitution, but for each financial year, the Govt is required to present following: (संविधान में इस शब्द का जिक्र नहीं हालाँकि हर साल तीन दस्तावेज संसद में रखे जाते हैं।)

Art. 112	**Annual Financial Statement** (AFS: वार्षिक वित्तीय विवरण) containing receipt and expenditure of last year (and projections for the next year). 1) The revenue expenditure data must be shown separately from other expenditures data (e.g. capital expenditure) FAQ: What does this mean? Ans. Finish pillar2D: to learn about capital

	expenditure. Presently we are at pillar#2A. 2) No compulsion to show railway budget separately from general budget. 3) No compulsion to show plan expenditure separately from non-plan.
Art. 265 **Art.117** **Read more about them in Laxmikanth or UA Notes**	Taxes can't be imposed without law so Finance Bill to obtain Parliament's permission to collect taxes. (वित्त विधेयक कराधान के लिए।) **Further,** Parliament **can reduce or abolish a tax proposed by the Govt**. but Parliament **cannot increase tax beyond what Govt has proposed** in the Finance bill. E.g. If Modi Govt's Finance bill proposes "we want to ⏫tax on imported shoes from 25% ⟶ **35%".** Then ⇒ Members of parliament can vote to allow tax@35%/reduce/remove it. ⇒ ✋Members of parliament CANNOT vote "let's ⏫tax to **45%".**
Art. 114 **Read more about them in Laxmikanth or UA Notes**	🛒**Appropriation Bill** (विनियोग विधेयक) to obtain Parliament's permission to spend money from Consolidated Fund of India(CFI: Art 266). Such expenditure can be of two types : 1) The expenditures **'charged'** upon the Consolidated Fund of India e.g. Judges salaries. They can be discussed but they are non-votable & automatically approved. (भारत की संचित निधि पर भारित व्यय. संसद में उसकी चर्चा हो सकती है, किन्तु मतदान नहीं। वरना यदि सांसद मतदान से, जज की तनख्वाह ↓ कर देंगे तो जज निष्पक्ष रुप से काम नहीं कर पाएंगे) 2) The expenditure '**made'** from CFI. E.g. ₹ ₹ for a scheme. They're discussed and voted. (भारत की संचित निधि से किये गए व्यय. संसद में इसपर चर्चा भी होगी और वोटिंग भी)

⇒ The finance bill and appropriation bill are considered **money bills** (धन विधेयक) under article 110. Therefore Rajya Sabha (RS) approval is not necessary. (राज्य सभा की अनुमति अनिवार्य नहीं)

⇒ At maximum Rajya Sabha can discuss it for 14 days and give suggestions to Lok Sabha for amendments, but it's not binding on the Lok Sabha to accept Rajya Sabha's suggestions. (धन विधेयक के मामले में राज्यसभा द्वारा दिए गए सुजाव मानना लोकसभा के लिए बाध्यकारी नहीं है)

⇒ Sometimes, the ruling party does not have majority in Rajya Sabha to pass other type of ordinary bills (*e.g. a bill to transfer National Housing Bank (NHB)'s ownership from RBI to Govt. or abolishing some low-profile statutory body or enacting a law to make Aadhar card compulsory*)…

⇒ Then, ruling party packs those ordinary bills' proposals inside Finance Bill to get it approved without Rajya Sabha's obstruction. (कुछ बार सामान्य विधेयक के मामले भी वित्त विधेयक में डालकर, बिना राज्य सभा की अनुमति के पास करवाने की हरकते सत्तापक्ष द्वारा की जाती है, जो नैतिक नहीं)

⇒ In such scenarios, whether a given bill is money bill or not?= Ans: Lok Sabha Speaker's decision is final [Art.110(3)]. Speaker's decision cannot be enquired by any Court [Art.122].

🔠❓ MCQ. **What will follow if a Money Bill is substantially amended by Rajya Sabha? (Pre'13)**

a. Lok Sabha may still proceed with the Bill, accepting or not accepting recommendations of Rajya Sabha.
b. The Lok Sabha cannot consider the Bill further.
c. The Lok Sabha may send the Bill to the Rajya Sabha for reconsideration.
d. The President may call a joint sitting for passing the Bill.

🔠❓ **MCQ. Find correct statement(s): (UPSC Pre'15)**

1. The Rajya Sabha has no power either to reject or to amend a Money Bill.

2. The Rajya Sabha cannot vote on the Demands for Grants.
3. The Rajya Sabha cannot discuss the Annual Financial Statement.

Codes: (a) 1 only (b) 1 and 2 only (c) 2 and 3 only (d) 1, 2 and 3

20.3 SIX STAGES OF PASSING THE BUDGET IN PARLIAMENT (6 चरण)

1. Presentation of budget (बजट का प्रस्तुतिकरण)
2. General Discussion (आम बहस)
3. Scrutiny by departmental committees (विभागीय समितियों द्वारा जांच)
4. Voting on demands for grants, cut motions, guillotine. (अनुदान की मांग पर मतदान)
5. Passing of Appropriation Bill (विनियोग विधेयक का पारित होना)
6. Passing of Finance Bill (वित्त विधेयक का पारित होना)

> Self-Study from M.Laxmikanth's ch on Parliament or Unacademy Polity Notes/Lecture

20.3.1 Financial Year (FY: वित्तीय वर्ष)

⇒ 1867: British Indian Govt started financial year 1st April to 31st March to align with their home country's financial year. क्योंकि इंग्लैंड में ऐसा वित्तीय वर्ष था, इसलिए भारत में वित्तीय वर्ष ऐसा किया

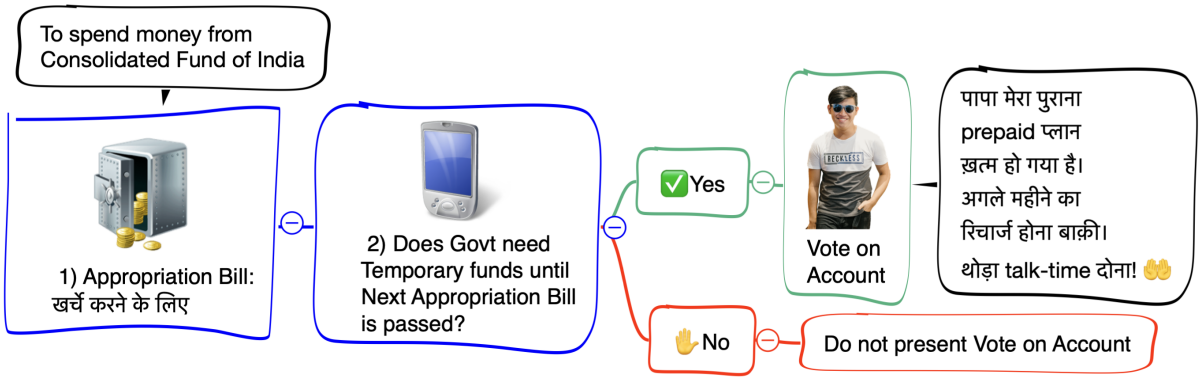
⇒ Constitution has not specified any months for FY but we continued the British legacy.

⇒ 2016-17: Finmin setup **Shankar Acharya Committee:** Whether we shd change FY (like Jan-Dec or Rabi-Kharif Cropping seasons) for better estimation of tax collection and expenditure?

⇒ 2017: All states not in favor because accounting practices /softwares need to be changed. Its challenges outweighed the benefits. So, Modi Govt not implementing. इसको लागू नहीं कर रहे

⇒ 2020: some fake news that FY changed due to Corona, but it was FAKE-NEWs (झूठा समाचार)

20.4 VOTE ON ACCOUNT- (लेखा अनुदान)



The Constitution does not mandate any specific date for presentation of the Budget, but it is presented to the Lok Sabha on such day as the President directs.

⇒ **Before 2017**: Presented in the **last working day of February**. Then it'll pass through aforementioned six stages- consuming all the time upto May month.

⇒ But while those six stages were going on, the **financial year will be over** (on 31st March) so previous year's Appropriation Act's validity will be over.

⇒ Then govt cannot withdraw money from the **Consolidated Fund of India** even for the routine expenditure like staff salary, electricity bills.

⇒ So, to avoid such crisis, government will put a motion for **vote on account**.

⇒ Here, parliament (= practically Lok Sabha) will allow the govt to spend some money from the CFI, **till the (next) Appropriation Act** for next financial year is passed.

⇒ Vote on Account is generally granted for **two months** for an amount equivalent to **one-sixth** of the total budget estimation.

✋Vote on Account is no longer necessary because (**अब इसकी जरूरत नहीं**)

⇒ Constitution has no compulsion to put budget on a specific date. So, 2017 onwards, Modi Govt. began tabling the budget on the 1st February. (2026- 1st Feb was Sunday, yet, it was presented.)

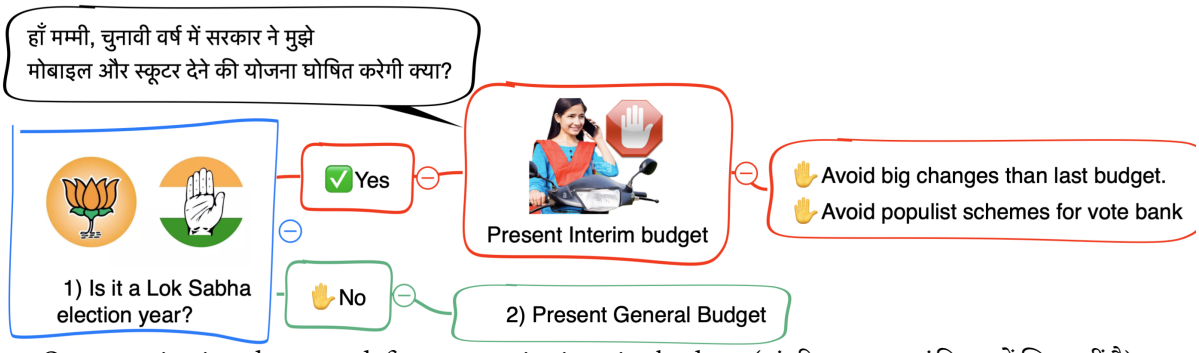
⇒ All the six stages are completed by the last week of March.

⇒ Appropriation bill gets passed and signed by President before completion of 31st March. So they did not require vote on account in 2017, 2018.

⇒ (###) However, in 2019 and 2024's Interim Budget→ Modi Govt demanded "vote on account" because they planned to place full-budget after general elections and perhaps they wanted to keep the 'option' open for tabling a big-sized appropriation bill after winning the election. **(2019 & 2024** के अंतरिम बजट में हालांकि मोदी सरकार ने लेखानुदान की मांग की थी क्योंकि चुनाव के बाद बड़ा सामान्य बजट प्रस्तुत कर उसमें मोटी रकम का "विनियोग विधेयक" डालने का विकल्प/ऐसी खिड़की/रास्ता वे खुला रखना चाहते थे)

FAQ: (###) I've 500 types of counter arguments / doubts on this (###) bullet point. Ans. Govt did not bother to give long reasoning behind their decision. Nobody filed a PIL SC. Economic survey, NITI Aayog and columnist did not bother to comment much on it. So, I did not bother to think/reflect more on it, Because it is NOT an efficient way to complete syllabus. #थोड़ा-पढ़ो-आगे-बढ़ो

20.5 (👸🗳️👴)=🥛💼 INTERIM BUDGET (अंतरिम बजट)



⇒ Our constitution does not define or require interim budget. (अंतरिम बजट का संविधान में जिक्र नहीं है)

⇒ But, during election year or extreme situation (E.g. when coalition government may collapse before its term) then it's considered unethical for such Govt. to make drastic/populist changes in budget like "*2gm gold for the marriage of every BPL-girl.*"

⇒ So, while they'll present a budget in the regular fashion i.e. 3 documents (AFS, FinBill, Appro.Bill) & 6 Stages of Passing. But it (should) not have grand populist announcements. (ऐसी परिस्थितिमे लोक-लुभावन की योजनाओ के साथ बजट प्रस्तुत करना नैतिक नहीं होगा, वरना विपक्षी नेता जीत नहीं पाएंगे चुनाव)

⇒ Such budgets are called **Interim Budgets**, and were presented in **2004** (Yashwant S.), **2009** (Pranab M.), **2014** (Chidambaram P.), **2019** (Piyush G.), 2024 (Nirmala S.)

⇒ Just like a Regular General Budget, an Interim budget is valid for the whole financial year, however in between if new government is formed, they may present another budget to change the provisions. (वैसे तो पूरे वर्ष के लिए वैध होता है)

⇒ E.g. **2014-Feb:** FM Chidambaram presented (interim) budget in 15th Lok Sabha, but then UPA/Congress defeated in general election→ **2014-July:** BJP's FM Arun Jaitley presented (Full) General Budget in 16th Lok Sabha.

⇒ 2024 and 2019- Similar scene. In Feb=interim budget. In July- general budget after election.

✋Note: throughout the handout, I've used the term "Full" budget to differentiate it from "Interim" Budget for easier revision & visualization. But in Mains, you should use the word 'General Budget'(सामान्य बजट)

20.5.1 👜🧣 Budget's THEME (बजट की विषयवस्तु)

Constitution doesn't require, but sometimes FM will do it to create media-hype:

Budget Year	Did FM Speech mention a specific theme (विषयवस्तु)?
2021 Paperless	• No specific theme mentioned but focus on AtmaNirbhar Bharat • Started paperless/Digital Budget in a Samsung tablet made in India, covered in Red-colored cover.
2024-Feb Interim Paperless	• Due to general election, Interim budget was presented in 2024-Feb. No changes in the taxes made. Very few new schemes announced. • Separately, Finance Minister also presented a 'White Paper' comparing the UPA/Congress Govt vs 10 years of Modi govt. (श्वेतपत्र)
2024-July	General Budget. Paperless (digital).
2025	• No income tax upto ₹12 lakh, 'PM Dhan-Dhaanya Krishi Yojana' (ref#4A); Our 4 engines are: Agri, MSME, Investment, Exports
2026	• No changes in Income Tax. More focus on mfg, biopharma, etc.

🔠 MCQ. *Which is not identified as one of the Engines of Development' in the Union Budget, 2025-26? (CAPF-2025)* (a) Textiles (b) Agriculture (c) Investment (d) Export

20.6 📘📘 Economic Survey (आर्थिक सर्वेक्षण)

- A document prepared by (usually) by the Chief Economic Adviser (CEA) in FinMin.
- ✋No constitutional obligation to prepare or present it but usually it's tabled in the parliament **a day before the Union Budget.** (संविधानिक रूप से ऐसा करना अनिवार्य नहीं)
- **2019-Feb:** No economic survey was presented before the interim budget.
- **2019-July:** Economic Survey presented before the (Full) General Budget.
- **2024:** similar scene like 2019, due to General Election.
- **Note1:** While Budget is labelled after next financial year (e.g. 2019-20), the Economic survey is **labelled after previous Financial Year**. e.g. The survey tabled on Jan-2018 labelled as "Economic Survey 2017-18", the Survey tabled in July-2019 is labelled "Economic Survey 2018-19".
- **Note2:** For faster revision/easy visualisation, throughout my handout, I've used following labels:
  - "📙📙ES22" means Economic Survey 2021-22 presented on 31/1/2022
  - "📙📙ES21" means Economic Survey 2020-21 presented on 31/1/2021. & so forth.
  - 📕ES26: it was presented on 29th Jan.(so there is no rule to publish it on 31st Jan)

Till 2013-14	⇒ Single Volume survey. (सिर्फ़ एक अंक में प्रकाशित किया जाता था)

2014-15 **2 volumes**	⇒ Adopted Two Volume Systems like "IMF's World Economic Outlook". (दो-अंक) ⇒ Vol1= future suggestions | Vol2= Past data. ⇒ Explicitly mentioned Theme in preface (प्राक्कथन): "Creating opportunity and reducing vulnerability" (through JanDhan-Aadhar-Mobile = JAM trinity)
2020-21 **2 volumes**	Paperless / Digital format.
2021-22 **1 Volume**	⇒ Released both in digital and paper (hardcopy) on 31/Jan/2022 ⇒ THEME in Preface: Art and science of policy-making under conditions of extreme uncertainty using "Agile" approach. ("फुर्तीली" दृष्टिकोण का उपयोग करते हुए अत्यधिक अनिश्चितता की स्थितियों में नीति-निर्माण की कला और विज्ञान) ⇒ Not published by CEA. Published by Principal Economic Adviser. (Reason is not important, but explained in video lecture so save page space in handout.) ⇒ Shifted from TWO Volumes to ONE Volume. (Reason is not important, but explained in video lecture so save page space in handout.)
2022-23 **1 Volume**	⇒ Released on 31/Jan/2023, by CEA. ⇒ No theme explicitly mentioned in preface.
2024	⇒ Jan/Feb: No economic survey was presented before the interim budget. ⇒ July: Survey presented one day before general budget. No theme mentioned.
2025	⇒ Released on 31/Jan/2025, by CEA. No theme explicitly mentioned in preface. ⇒ But focus areas- Global geopolitical issues will cause problem to Indian economy, Over-financialisation, AI se job-loss, Deregulation & Ease of doing biz, Energy transition from coal to clean energy, 2025's GDP Growth will be **6.3-6.8%**, etc
2026	⇒ Released on 29/Jan/2025 by CEA. No theme explicitly mentioned. ⇒ Focus area: Mfg powerhouse, criticized State govt's revdi culture, need to copy S.Korea's "Entrepreneurial state model", negative impact of ultra-processed food & social media addiction, traffic & urban governance, deregulation & ease of doing biz. ⇒ **GDP Growth projection:** 2025-26: **7.4%**; 2026-27: **6.8-7.2%**

20.6.1 **Chief Economic Advisor (CEA:** मुख्य आर्थिक सलाहकार)

- Works under Finance ministry's Department of Economic Affairs
- Usual tenure 3 years, reappointment possible, but not a constitutional or statutory body. Has control over Indian Economic Service (IES) officers. (तीन साल का कार्यकाल पुनर्नियुक्ति संभव)
- Notable CEAs in Past: Manmohan Singh, Raghuram Rajan, Arvind Subramanian (2014-18).
- 2018-2021: Krishnamurthy Subramanian served as the CEA.
- 2022-Jan: **Dr V. Anantha Nageswaran** as its Chief Economic Advisor (CEA). Nageswaran MBA from IIM-A. His famous books: 1) Can India grow? 2) The Rise of Finance: Causes, Consequences and Cures. His term is till March 31, 2027.

20.7 **FINANCE MINISTRY AND ITS DEPARTMENTS:** (वित्त मंत्रालय और उसके विभाग)

20.7.1 **Department of Economic Affairs (DEA:** आर्थिक कार्य/ आर्थिक मामलो का विभाग)

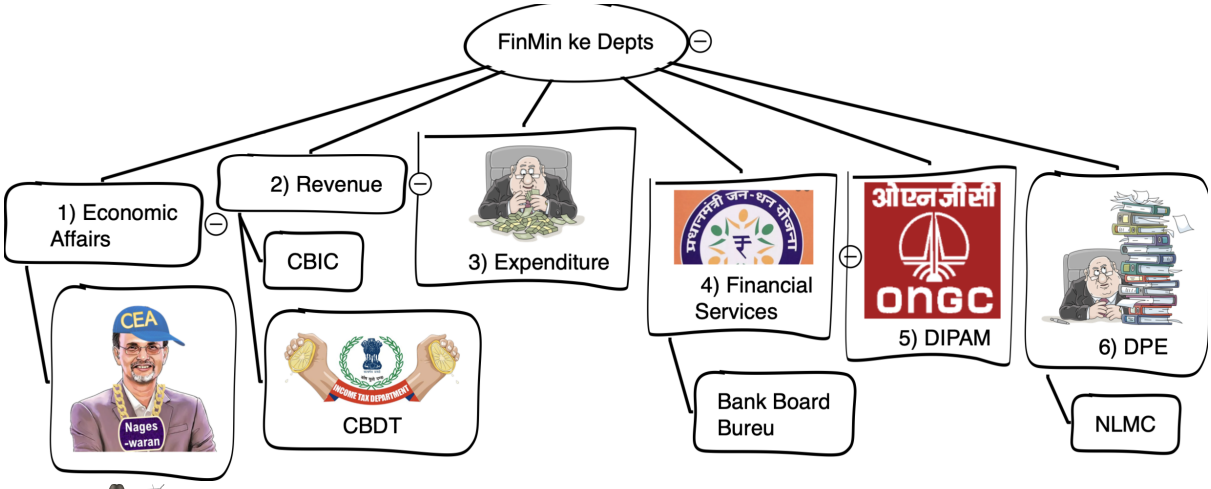
⇒ Fiscal policy, Preparation and presentation of Union budget including the Railway component of budget. Budget for union territories without legislature, budget for States under president rule.

⇒ DEA announces the Interest rates of small saving schemes. (Ref:1D, लघु बचत योजनाओं की ब्याज दर)

⇒ DEA maintains a website www.pppinindia.gov.in, to provide information related to Public Pvt Partnership (PPP). (*Ref-Pill5: Infrastructure for more*)

Organizations under/related to DEA

1) **Constitutional Body**: Art. 280: Finance Commission. DEA liaisons with it.
2) **Chief Economic Advisor (CEA)** that we learned in previous section.
3) **Financial Stability and Development Council (FSDC)**: is neither Constitutional nor statutory body. FM is chairman. Members include the chiefs of all financial regulatory bodies- such as RBI, SEBI, IRDAI, PFRDA and the chief of IBBI (Ref: 1C)
4) **Govt Company**: Security Printing and Minting Corporation of India Ltd. (**SPMCIL**). Registered under the Companies Act responsible for printing currency notes, coins, commemorative coins, cheques, postage stamps, non-judicial stamps, passports/visa and other travel documents etc.
5) Infrastructure Finance Secretariat (IFS) for infra projects.



20.7.2 FinMin#2: Department of Expenditure (व्यय विभाग)

⇒ Controller General of Account (CGA: महालेखा नियंत्रक from Indian Civil Accounts Service (ICAS) service, recruited by UPSC-CSE) prepares estimate of how much money to be spent from consolidated fund of India.

⇒ Implements Finance Commission report, Pay Commission reports, Pension to employees (in old pension scheme Ref 1D)

⇒ **Org:** Arun Jaitley National Institute of Financial Management (AJNIFM), Faridabad: for training/research.

⇒ **Web Portals of Expenditure Department:**

- ✓ **Public Financial Management System (PFMS):** for disbursing money to various Ministries and departments at Union and State level
- ✓ **Bharatkosh- Non Tax Receipts Portal (NTRP):** For selling India yearbook Yojana Kurukshetra mags etc products and services by the government of India
- ✓ **PARAS:** portal for pension related accounts.

MCQ. Public Financial Management System (PFMS) is a web-based online software application designed, developed , owned and implemented by the (UPSC-CDS2019-II)

A) Department of Financial Services B) Institute of Government Accounts and Finance

C) Controller General of Accounts D) National Institute of Financial Management

20.7.3 💰⏰ SNA-SPARSH for JIT (Just in Time Release of Funds) is very great says 📘ES26

- When the state government presents actual expenditure details, the Union releases money from RBI's E-Kuber Account → Union's PFMS → State's IFMIS portal.
- 😢 Before SPARSH Reform: ₹ 1.6 lakh crore lying idle with state agencies = risk of fund diversion risk. 😍 After SPARSH Reform in 2023-24: Just in Time Release to prevent it.(CAPF-2026 asked this)
- SNA-SPARSH = Single Nodal Account-Samyochit Pranali Ekikrit Shighra Hastantaran.

20.7.4 🕵️🍋FinMin#3: Department of Revenue (राजस्व विभाग)

Looks after the taxation matters using bodies: <*Hindi terms not given because it'll take too much printout space, but they're given in indirect tax section of this handout*>

Statutory Bodies & Quasi-judicial bodies **वैधानिक संस्थाएं** अर्ध न्यायिक	❖ Central Boards of Revenue Act 1963 : 2 bodies → o Central Board of Direct Taxes (CBDT)→ Dept of Income Tax o Central Board of Indirect Taxes and Customs (CBIC). Before-2018-March, it was known as Central Board of Excise and Customs (CBEC). It implements GST from 1st July 2017, under the 101st Constitutional Amendment Act, 2016. ❖ Authorities for Advance rulings for IT, Customs & Central Excise, GST ❖ Various Tribunals and appellate bodies related to taxation.
Attached / Subordinate##	❖ (1) Enforcement Directorate (for enforcing PMLA and FEMA Act) ❖ (2) Central Economic Intelligence Bureau ❖ (3) Central Bureau of Narcotics | (4) Financial Intelligence Unit
Companies / factories	- Goods and Service Tax Network (GSTN) - Government Opium and Alkaloid Factories (GOAF)
Special functions	Opium related matters. Madhya Pradesh, Rajasthan and Uttar Pradesh have permitted cultivation of Opium for medicinal/pharma purpose. Such Opium is used for manufacturing morphine (pain relief for cancer patients and soldiers injured in war), codein (cough-syrup) and thebaine (used in industrial chemicals). [अफ़ीम]

##🚩👶FAQ: What is Attached/Subordinate/Autonomous Body? Ans. Refer to lecture video.

20.7.5 🕵️‍♂️🪪🔪FinMin#4: Department of Financial Services (DFS: वित्तीय सेवाएँ विभाग)

Functions of DFS:

Schemes for Financial Inclusion (📄Ref-1D), PSB supervision and recapitalization, Public Sector Financial Intermediaries, including their regulators (Except EPFO, ESIC etc.)

Organizations under/related to DFS:

❖ **Bank Board Bureau (later renamed Financial Services Institutions Bureau (FSIB)**: Neither Constitutional / statutory. Setup through gazette notification for selection of top officials (MD, CEO, Chairman and full-time Directors) for PSBs, LIC and other public sector financial institutions. (📄Ref:1B-2)

❖ **Govt Company:**

- National Credit Guarantee Trustee Company (NCGTC): For providing credit guarantee for loans in Mudra, certain MSME loans, Stand up India, education-skill development related loans. (इस सरकारी योजनाओं में लाभार्थी कर्जा वापस नहीं करें तो बैंक के नुकसान की भरपाई करेगी)
- *National* Bank for Financing Infrastructure and Development (NABFID)

❖ **E-Bikray Portal**: for online-auction of attached assets by public sector banks for loan default.

20.7.6 FinMin#5: DIPAM (निवेश एवं लोक परिसंपत्ति प्रबंधन विभाग)

❖ Department of Investment and Public Asset Management (DIPAM) looks after Disinvestment / privatization of Govt Companies / Central Public Sector Enterprises (CPSE- सार्वजनिक क्षेत्र के केंद्रीय उद्यम) (Ref #2D: Disinvestment)

20.7.7 FinMin#6: Department of Public Enterprises (DPE: सार्वजनिक उपक्रम विभाग)

BEFORE	AFTER 2021-July Reform
Department of Public Enterprises (DPE) functioned under Ministry of Heavy Industries and Public Enterprise (पहले ये सार्वजनिक उपक्रम विभाग "भारी उद्योग तथा सार्वजनिक उपक्रम मंत्रालय" के अंतर्गत काम करता था)	- DPE shifted to Finance Ministry. (सार्वजनिक उपक्रम विभाग अब से वित् मंत्रालय के अंतर्गत काम करेगा) - Benefit? DPE can work with more synergy / coordination with DIPAM Department. (तालमेल संकलन में बेहतर होगी)

- DPE looks after Government Companies/Central Public Sector Enterprises (CPSEs)'s administration, expenditure, financial health, survey/performance monitoring etc. (सरकारी कंपनियों के प्रबंधन, ख़र्चे वित्तीय स्वास्थ्य, सर्वेक्षण/प्रदर्शन की निगरानी के बारे में देखता है)
- DPE gives 'Ratna' status to CPSEs' that are making good profits. (Ref #2D: Disinvestment)
- DPE looks after CPSEs' employees' training, rehabilitation (Voluntary Retirement Scheme: VRS) and other personnel matters What is VRS = Explained in Pillar1B1 lecture in public sector bank merger lecture. (सरकारी कंपनियों के कर्मचारियों के तालीम, स्वैच्छिक निवृत्ति इत्यादि कार्मिक प्रशासन)
- DPE DOESNOT look after selection/recruitment of employees in CPSE. There are separate organizations for it -given in table below:

Selection/Interview of Managing Director, Chairman & other Top-Officials in _ _	Who is responsible? (इन उच्च पदाधिकारियों का चयन कौन करता है)
Public Sector Banks/NBFCs/AIFI e.g. SBI, PNB, LIC, NABARD, NHB etc (What are they? Ref: 1B1: Classification) → →	BBB was there. Then BBB replaced by FSIB (More in Pillar#1B2) (सरकारी बैंकों/सरकारी वित्तीय संस्थान में उच्च अधिकारियों के चयन के लिए अलग संस्था है)
Government companies Other than [Public Sector Bank/NBFC/AIFI] e.g. ONGC, Coal India, Hindustan Copper, Hindustan Aeronautics Limited (HAL) etc	Public Enterprises Selection Board (PESB) under the Ministry of personnel (सरकारी बैंक/ सरकारी वित्तीय संस्थान के अलावा वाली सरकारी कम्पनियों में उच्च अधिकारियों के चयन के लिए अलग संस्था PESB है)
RBI Governor, SEBI Chief etc regulators →. →. →	Separate Committee headed by Cabinet Secretary (IAS)

The highest official in each of above 6 depts is called 'Secretary' (usually an IAS) → senior-most among them is designated as Finance Secretary=signs ₹ 1 note. Finance Secretary usually heads the Dept of Economic Affairs (DEA)

20.7.8 FinMin#6: DPE → National Land Monetization Corporation (NLMC-2022)

⇒ Budget-2021 announced this → 2022-March: Govt said we'll setup NLMC under Dept of Public Enterprise. This company 100% owned by Govt with paid up capital of ₹150 cr.

⇒ Function? Renting/selling surplus/non-core land-assets of govt depts/govt companies etc.

⇒ It will hire experienced professionals from private sector to ensure efficient management.

⇒ Related topics: PM Gati Shakti, National Monetization Pipeline, National Infra Pipeline: (REF: in Pillar#5: PPP / public private partnership)

(सरकारी कंपनियों की अतिरिक्त ज़मीन / इमारत /संपत्तियों को निजी क्षेत्र के उधोयपतीयो को किराये पे देना/बेच देना- इन सबके लिए एक "राष्ट्रीय भू-मौद्रिकरण निगम" की स्थापना।)



20.8 Indian Audit and Accounts Department

❖ As per Press Release FinMin = 6 departments that we learned above.

❖ This (lesser known) dept is headed by Constitutional Body: Comptroller and Auditor General (CAG: भारत के नियंत्रक-महालेखापरीक्षक इस के मुखिया होते हैं. इस विभाग को वित्त मंत्रालय का हिस्सा नहीं माना जाता)

20.8.1 IAAD-OIOS by CAG (विभिन्न मंत्रालयों की लेखा परीक्षण के लिए डिजिटल पोर्टल)

- One Indian Audit & Accounts Department (IAAD) One System (OIOS)
- Made by CAG- for paperless administration.

MCQ. Find correct Statement(s): (MCQ-Prelims-2015)

1. *The Dept of Revenue is responsible for the preparation of Union Budget.*
2. *No amount can be withdrawn from the CFI without authorization from Parliament of India.*
3. *All the disbursements made from Public Account also need the authorization from Parliament*

Codes: (a) 1 and 2 only (b) 2 and 3 only (c) 2 only (d) 1, 2 and 3

Next HDT: 2A1 Direct Taxes